

AURORA COMPONENTS LTD.

Annual Report - Fiscal Year 2025

Precision components for industrial automation, aerospace and medical devices.

This document is a synthetic sample created for demonstration purposes.

1. Business Overview

Aurora Components Ltd. manufactures precision components for industrial automation, aerospace and medical device customers. Manufacturing operations are located in the United States, Mexico and Poland.

Customer base: Our top three customers accounted for 44% of revenue in FY2025, compared with 36% in FY2024. The largest customer, Northline Robotics, represented 21% of FY2025 revenue. Contracts with the top three customers run through 2027.

2. Management Discussion and Analysis

USD millions. Fiscal year ended December 31.

FY2025 revenue was 630.4 compared with 520.8 in FY2024 and 410.2 in FY2023, growth of 21.0% year over year.

International operations contributed 38% of revenue in FY2025, up from 30% in FY2024, led by expansion in Central Europe.

Gross margin declined to 37.9% in FY2025 from 40.0% in FY2024, reflecting higher specialty alloy input costs and startup costs at the Poland facility.

Operating margin declined to 14.0% in FY2025 from 16.0% in FY2024.

3. Risk Factors (excerpt)

Customer concentration: A significant portion of revenue is derived from a small number of customers. The loss of any major customer could materially affect revenue.

Supplier concentration: We rely on a limited number of suppliers for specialty alloys.

Supply disruptions would negatively impact production schedules and margins.

Cybersecurity: An information security incident could disrupt operations and harm our reputation. We continue to invest in security controls.

Regulatory: Changing trade regulations and tariffs may affect our international supply chain and export sales.

Competition: The precision components market is intensely competitive with periodic pricing pressure from larger diversified competitors.

4. Consolidated Statements of Income

USD millions | FY2023 FY2024 FY2025

Total revenue 410.2 520.8 630.4

Cost of revenues 246.1 312.5 391.2

Gross profit 164.1 208.3 239.2

Research and development 24.6 31.2 39.7

Operating income 61.5 83.3 88.3

Interest expense 6.2 8.9 12.4

Net income 39.8 55.2 58.9

5. Consolidated Balance Sheets

USD millions	FY2023	FY2024	FY2025
Cash and cash equivalents	88.4	96.2	104.7
Accounts receivable	71.2	83.4	96.8
Inventories	58.3	66.1	74.9
Total current assets	210.5	238.9	261.3
Total current liabilities	131.2	146.3	163.2
Total assets	402.7	461.5	528.4
Total debt	142.0	175.3	230.1
Total liabilities	205.3	246.2	292.7
Shareholders equity	197.4	215.3	235.7

6. Consolidated Statements of Cash Flows

USD millions FY2023 FY2024 FY2025			
Net cash provided by operating activities	62.4	71.8	74.2
Capital expenditure	18.9	24.6	29.8
Free cash flow	43.5	47.2	44.4

7. Liquidity and Debt

EBITDA was 97.8 in FY2025 compared with 89.1 in FY2024 and 70.4 in FY2023.

Total debt increased to 230.1 in FY2025 from 175.3 in FY2024, primarily reflecting a new 60.0 term loan to fund the Poland capacity expansion, drawn in Q2 FY2025.

The term loan matures in FY2030 with quarterly amortization of 3.0.

Management expects to fund repayment from operating cash flow.

Cash and cash equivalents of 104.7 at year end provide additional liquidity.

8. Segment and Geographic Information

FY2025 international revenue was 239.6, or 38% of total revenue.

Revenue by region: Americas 391.3, Europe 201.8, Asia-Pacific 37.3.

Europe revenue growth reflects the new Poland facility ramp.

9. Corporate Governance

The board comprises seven directors, five of whom are independent.

The audit committee reviews the annual operating plan and related-party transactions.

Executive compensation is tied to revenue growth, operating margin and safety metrics.

Outlook: Management expects revenue growth of 10-12% in FY2026 with gradual gross margin recovery as the Poland facility reaches full utilization.